How sheer luck made this tiny Caribbean island millions from its web address

5 days ago

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Jacob Evans BBC World Service



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Anguilla is a British Overseas Territory renowned for its pristine beaches

Back in the 1980s when the internet was still in its infancy, countries were being handed their own unique website addresses to navigate this nascent new online world. Such as .us for the US or .uk for the UK.

Eventually, almost every country and territory had a domain based on either its English or own language name. This included the small Caribbean island of Anguilla, which landed the address .ai.

Unbeknownst to Anguilla at the time, this would become a future jackpot.

With the continuing boom in artificial intelligence (AI), more and more companies and individuals are paying Anguilla, a British Overseas Territory, to register new websites with the .ai tag.

Such as US tech boss Dharmesh Shah, who earlier this year spent a reported $700,000 (£519,000) on the address you.ai.

Speaking to the BBC, Mr Shah says he purchased it because he had "an idea for an AI product that would allow people to create digital versions of themselves that could do specific tasks on their behalf".

The number of .ai websites has increased more than 10-fold in the past five years, and has doubled in the past 12 months alone, according to a website that **tracks domain name registrations.**

The challenge for Anguilla, which has a population of just 16,000 people, is how to harness this lucrative bit of luck and turn it into a long-term and sustainable source of income.

Similar to other small Caribbean islands, Anguilla's economy is built on a bedrock of tourism. Recently, it's been attracting visitors in the luxury travel market, particularly from the US.

Anguilla's statistics department says there was **a record number of visitors** to the island last year, with 111,639 people entering its shores.

Yet Anguilla's tourism sector is vulnerable to damage from hurricanes every autumn. Situated in the northeast of the Caribbean island arc, Anguilla lies perfectly within the North Atlantic hurricane belt.

So gaining an increasing income from selling website addresses is playing an important role in diversifying the island's economy, and making it more resilient to the financial damage that storms may bring. This is something that the International Monetary Fund (IMF) noted **in a recent report on Anguilla.**



Dharmesh Shah is said to have spent $700,000 on the domain you.ai

In its draft 2025 budget document, the Anguillian government says that in 2024 it earned 105.5m East Caribbean dollars ($39m; £29m) from selling domain names. That was almost a quarter (23%) of its total revenues last year. Tourism accounts for some 37%, according to the IMF.

The Anguillian government expects its .ai revenues to increase further to 132m Eastern Caribbean dollars this year, and to 138m in 2026. It comes as more than 850,000 .ai domains are now in existence, up from fewer than 50,000 in 2020.

As a British Overseas Territory, Anguilla is under the sovereignty of the UK, but with a high level of internal self-governance.

The UK has significant influence on the island's defence and security, and has provided financial assistance during times of crisis. After Hurricane Irma severely damaged it in 2017, the UK gave £60m to Anguilla over five years to help meet the repair bill.

The UK's Foreign, Commonwealth and Development Office tells the BBC it welcomes Anguilla's efforts "to find innovative ways to deliver economic growth" as it helps "contribute to Anguilla's financial self-sufficiency".



To manage its burgeoning domain name income, in October 2024 Anguilla signed a five-year deal with a US tech firm called Identity Digital, which specialises in internet domain name registries.

At the start of this year, Identity Digital announced that it had moved where all the .ai domains are hosted, from servers in Anguilla, **to its own global server network.** This is to prevent any disruption from future hurricanes, or any other risks to the island's infrastructure, such as power cuts.

The exact cost of .ai addresses isn't publicly disclosed, but registration prices are said to start from roughly $150 to $200. With renewal fees of around the same amount every two years.

At the same time, more in-demand domain names are auctioned off, with some fetching hundreds of thousands of US dollars. The owners of these then have to pay the same small renewal fees as everyone else.

In all cases, the government of Anguilla gets the sales revenue, with Identity Digital getting a cut said to be around 10%. However, they appear to be sensitive about the topic, as both declined to be interviewed for this article.

Anguilla profile

Currently the most expensive .ai domain name purchase is Mr Shah's you.ai.

A self-confessed AI-enthusiast, and co-founder of US software company Hubspot, Mr Shah has several other .ai domain addresses to his name, but the flagship you.ai is not yet operational as he's been busy with other projects.

Mr Shah says he buys domain names for himself, but will occasionally look to sell "if I don't have immediate plans for it, and there's another entrepreneur that wants to do something with the name".

Mr Shah believes that another person or company will soon set a new record for the highest price of an .ai domain purchase, such is the continuing excitement around AI.

But he adds: "Having said that, I still think over the long-term, .com domains will maintain their value better and for longer."

In recent weeks, .ai auctions have seen major six-figure sales. In July, cloud.ai sold for a reported $600,000 and law.ai sold for $350,000 earlier this month.



The Caribbean was hit by three hurricanes at the same time in September 2017 - Katia, Irma and Jose

However, Anguilla's position is not without precedent. The similarly tiny Pacific island nation of Tuvalu signed an exclusive deal in 1998 to license its .tv domain name.

Reports say this granted exclusive rights to US domain name registry firm, VeriSign in exchange for $2m a year, which later rose to $5m.

A decade later and with the internet expanding exponentially, Tuvalu's finance minister, Lotoala Metia, said VeriSign, paid "peanuts" for the right to run the domain name. The country signed a new deal with a different domain provider, GoDaddy, in 2021.

Anguilla is operating in a different fashion, having handed over management of the domain name in a revenue-sharing model, not a fixed payment.

Cashing in on this new line of income sustainably has been a major goal for the island. It's hoped the increasing incomings will allow for a new airport to be built to facilitate tourism growth, as well as fund improvements to public infrastructure and access to health care.

As the number of registered .ai domains hurtles toward the million mark, Anguillians will hope this money is managed safely and invested in their future.

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